



Product costing and pricing

Knowing the full cost of creating each product that a business sells is vital because it helps a company price its products appropriately and assess the performance of the business.

How it works

Both direct and indirect costs contribute to the production cost of a product, whether it is a manufactured good or a service being provided. In order to

calculate the cost of a product, it is treated as one unit of production. The direct and indirect costs involved in creating that single unit are then assessed and added together to create the full cost.

38%
the average total of US
business costs that can be
accounted for by indirect costs



NEED TO KNOW

- › **Absorption costing** Allocation of all production costs to product
- › **Differential costing** Difference between the cost of two options
- › **Incremental (marginal) costing** The change in total costs incurred when one additional unit is made
- › **Throughput costing** An analysis of the impact that one extra unit of production will have on sales
- › **Cost-plus pricing** Product price is based on direct and indirect costs, plus markup percentage

Full cost pricing

Direct costs can be measured in terms of how materials and labor are used to produce each unit. Indirect costs (overheads) are harder to assess but also need to be factored in so that the full cost of each product can be calculated. Managers and accountants must apportion indirect costs to reflect their contribution to the cost of creating a single product. Once this is ascertained, the full cost of that product can be determined. In general terms, the price is worked out by adding the direct and indirect costs of production with a profit margin that gives an appropriate selling price.

Direct costs

- › Materials
- › Direct labor
- › Direct expenses
- › All used exclusively to create a product or service for sale



Share of indirect costs

- › Production and service overheads
- › Administrative and management overheads
- › Sales and distribution overheads

